

He decides to hang onto his position. During May, the stock surges upward again before beginning a downhill run. Ted watches in horror as his profit vanishes and losses mount. Eventually, when price spikes downward, he sells at the opening the next day and closes out his position.

What did he do wrong? He failed to wait for confirmation. Price must close above the confirmation point (above the peak between the two bottoms) before a trade is placed. Otherwise your chances of success are diminished (48% fail to confirm, actually).

Statistics

[Table 26.2](#) shows general statistics.

Number found. I found 1,295 patterns in 662 stocks starting from the first one in August 1991 and the most recent one in February 2020, but not all stocks covered the entire period and some no longer trade. Bear market samples were removed from the tally because they were too few to include here.

Reversal (R), continuation (C) occurrence. The Adam & Adam pattern is a bottom and not a top. Thus, price enters the pattern going down and breaks out upward, so it acts as a reversal of the downward price trend by definition.

Average rise. The average rise is shown in the table. It's below the 42.4% average for all chart patterns.

Standard & Poor's 500 change. The S&P 500 index climbed and helped push individual stocks higher. I measured the rise in the index from the date of the double bottom's breakout to the ultimate high. Even with the general market helping push the stocks higher, the chart pattern still underperformed other chart patterns.